

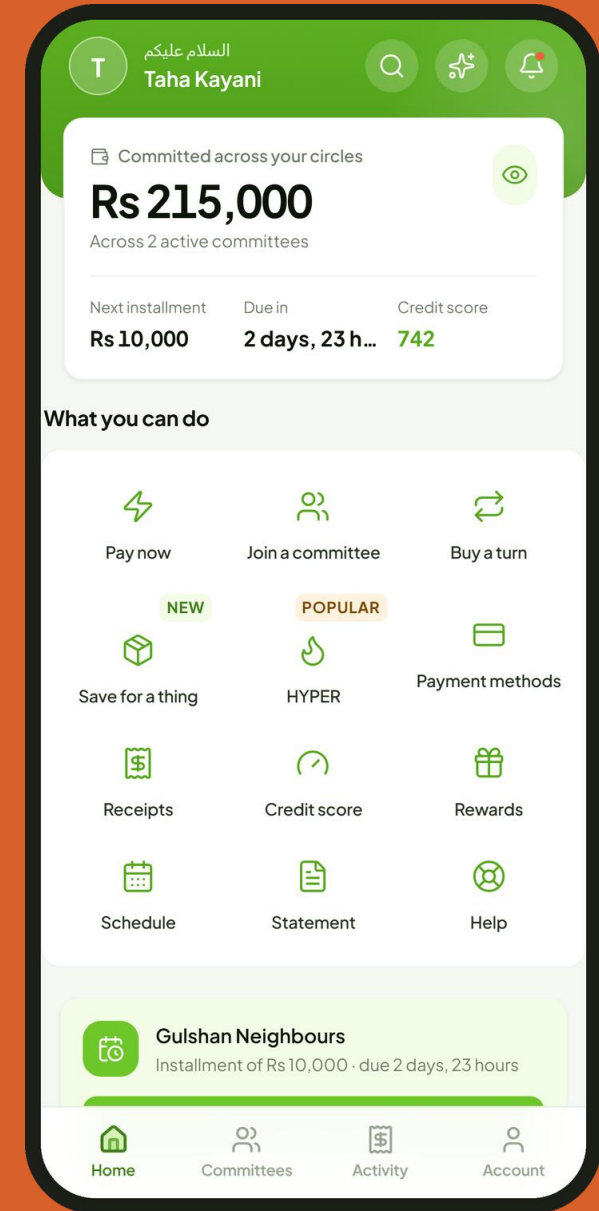


Committee Savings Partnership

Proposal to Mashreq Bank Pakistan

Taha Kayani, Founder, Halqa

30 September 2026

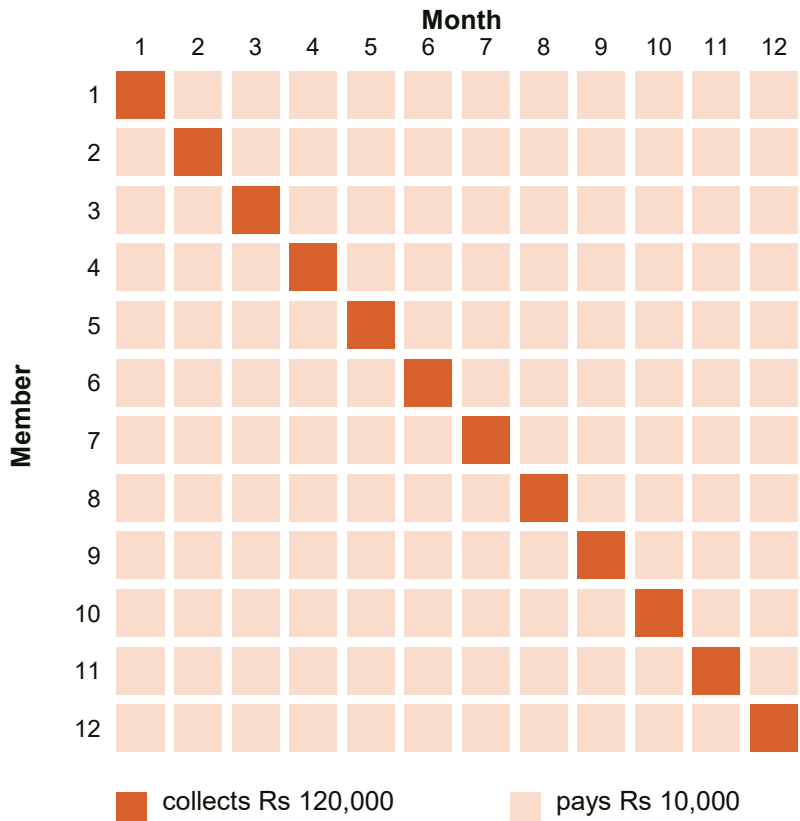


How a Committee Works

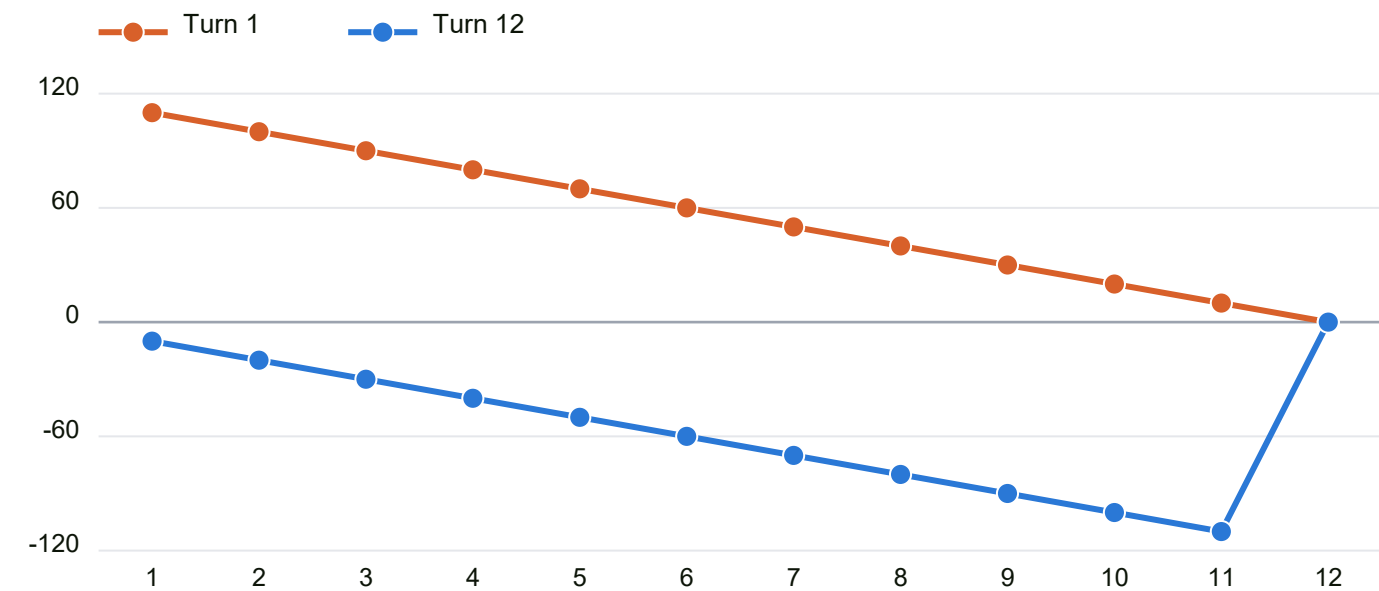


Also called kameti, BC or bisi. Example: 12 members each pay Rs 10,000 a month for 12 months

Who pays and who collects by month



Net position of two members after each month Rs thousand



Turn 1 takes Rs 120,000 at once and repays it over the year. Turn 12 saves every month and takes the pot last. Both end the year at zero.

Rs 120,000

the pot, paid to one member each month

No interest

each member pays in Rs 120,000 and receives Rs 120,000

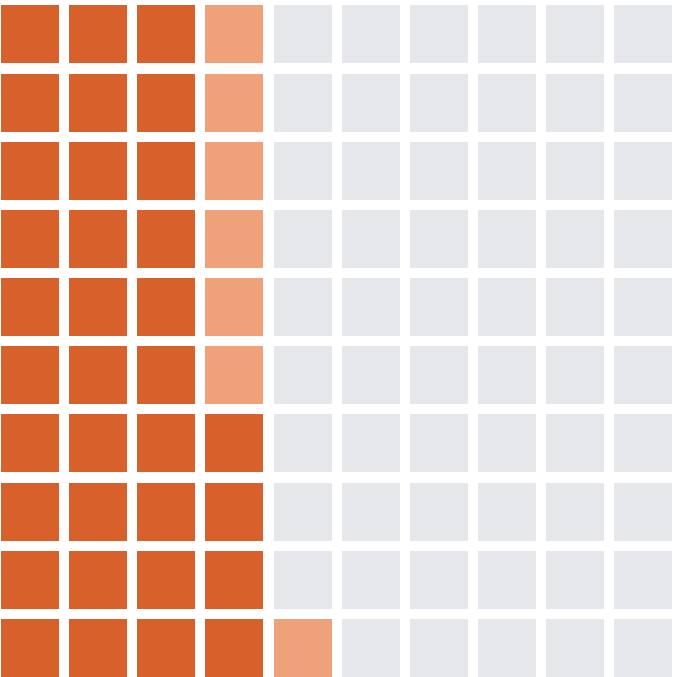
Fixed order/Ballot

the host sets the order of turns at the start

Market

Committee use in Pakistan, from published estimates

Pakistanis who save in committees per 100 people



34 in 100, Karandaaz estimate [1]

41 in 100 including these, Oraan estimate [1]



About 100 million

people use committees, on the higher estimate [2]



Rs 4 trillion

a year passes through committees, estimated [1]



91%

of committees collect monthly [4]



56%

of adults have a committee within 1 km of home [5]

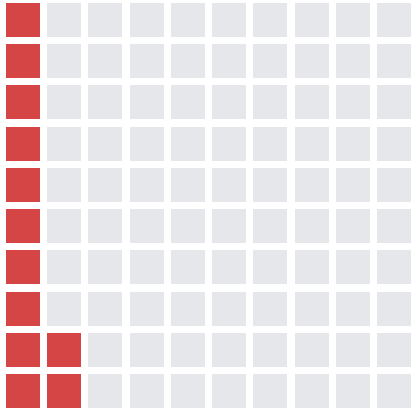


Rs 5000

average monthly contribution, [4]

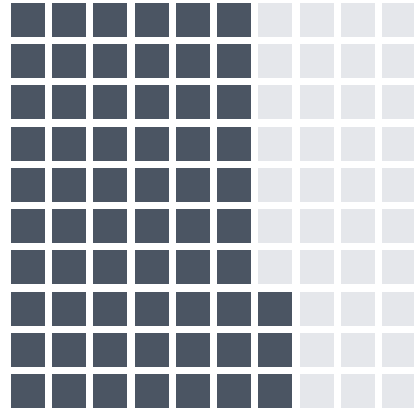
Problems with Informal Committees

Losses to fraud, cash kept outside banks and no credit record



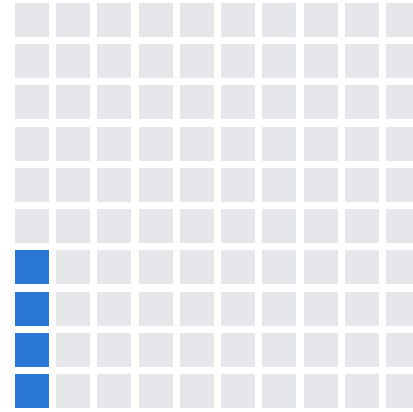
12%

of committee users have lost money to fraud [1]



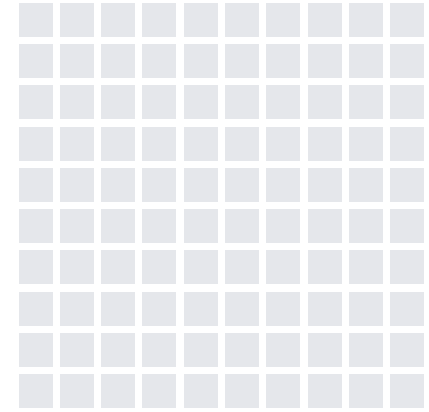
63%

of savers keep their savings as cash at home [1]



4%

of savers use a formal financial institution [1]



0

on-time committee payments reach a credit bureau



Case, 2022

One organiser ran more than 100 committees through Facebook and defaulted on about Rs 420 million. No written records were kept. [2]

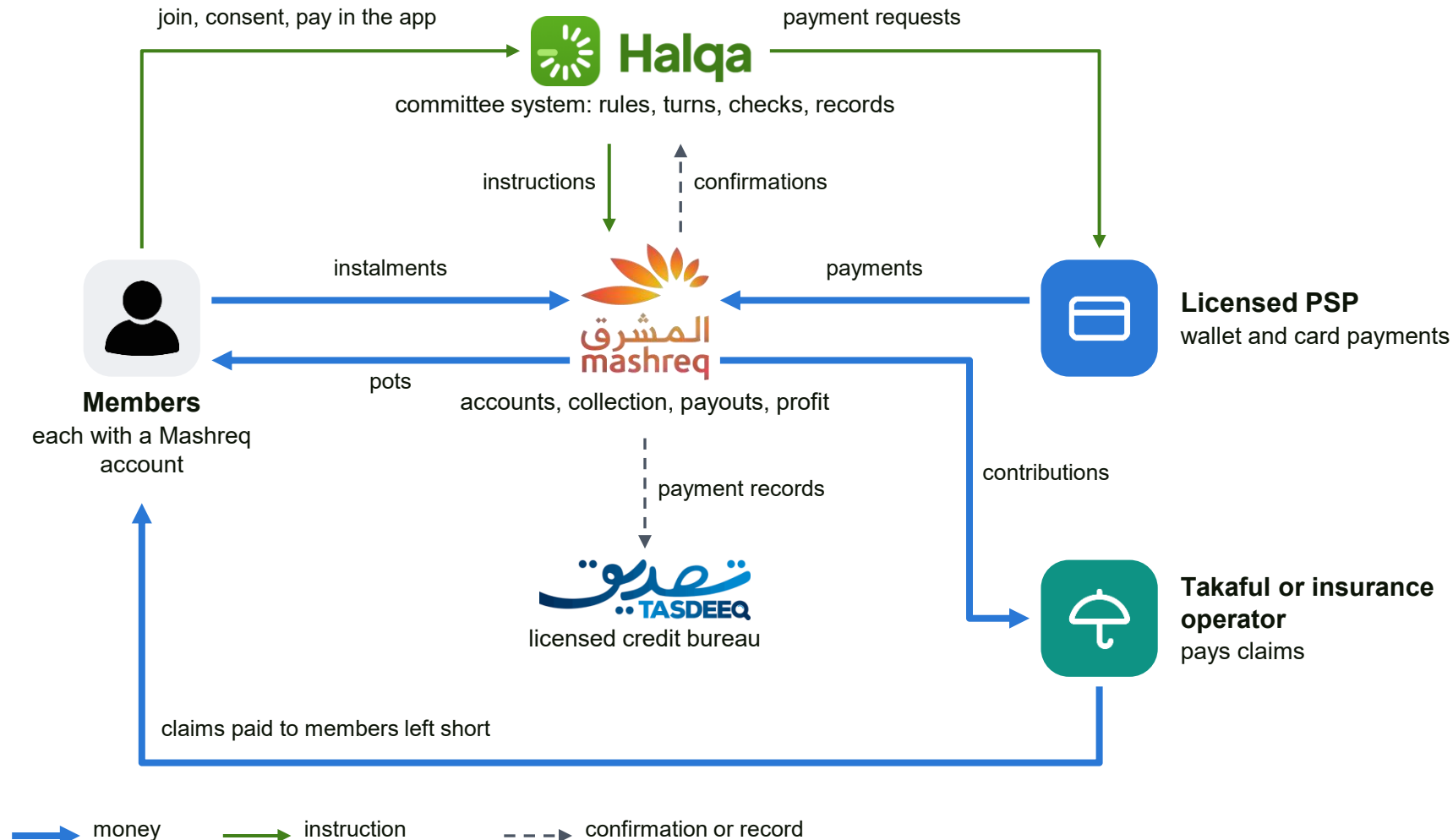
How informal committees fail

- ⊗ The organiser leaves with the pot
- ⊗ A member stops paying after collecting
- ⊗ Disputes over the order of turns
- ⊗ No record of who paid what

Proposed Structure



Halqa runs the committee system; Mashreq holds and moves the money under State Bank regulation



- Circle rules and turn order
- Member checks and credit score
- Reminders, records and receipts
- Late charges and exits
- Data for credit reporting

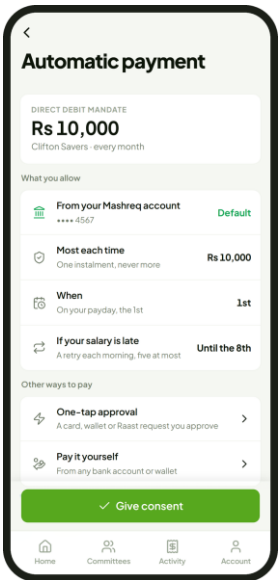
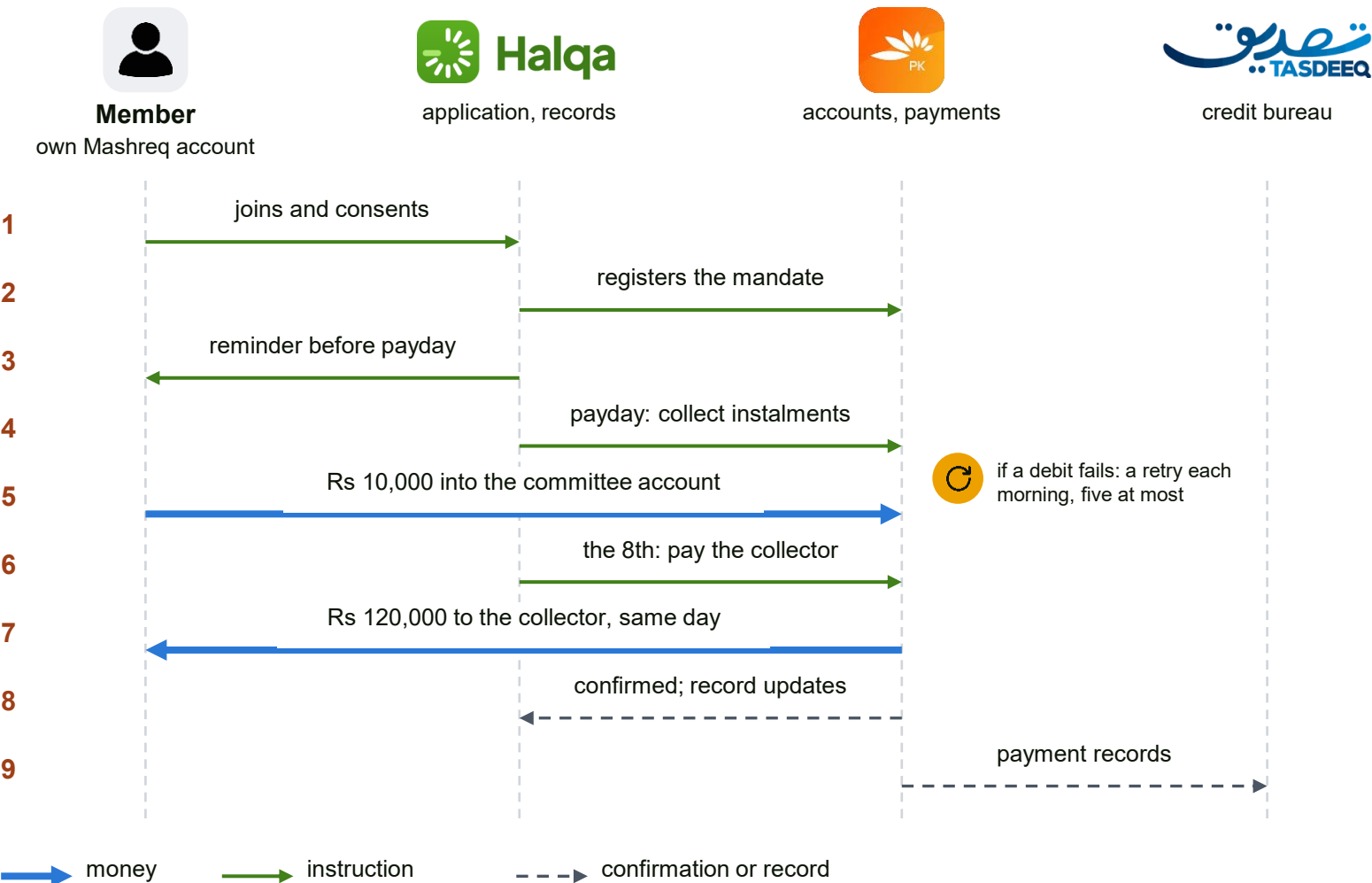


- Customer due diligence and accounts
- Direct debit mandate and collection
- Holding balances, paying profit
- Payouts to collectors
- Collecting the fee

Monthly Cycle



One month of a circle of 12 members at Rs 10,000, step by step



Ways to pay

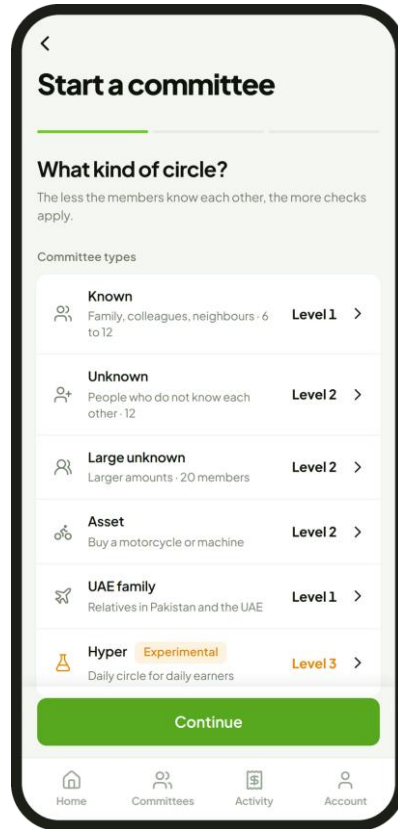
- Automatic debit:** Mashreq direct debit mandate (new), Recurring wallet merchant
- One-tap approval:** card, wallet or Raast RTP
- Manual:** from any account or wallet
- Wallets and cards:** through a licensed PSP

Detail: Appendix A2 and A3

Member Application: Joining

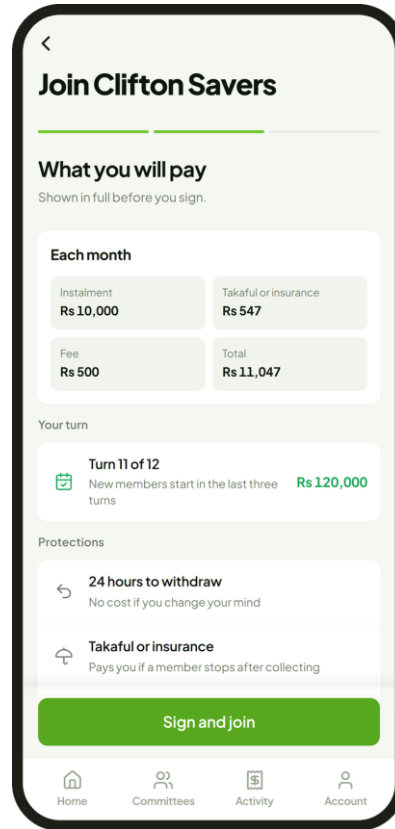


Choosing a circle, seeing the full cost, opening the Mashreq account and consenting to payment



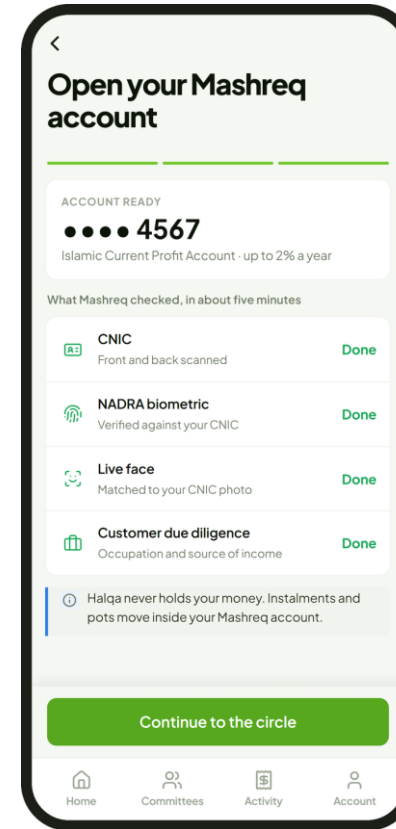
1 Choose a circle

The six types; Hyper is experimental.



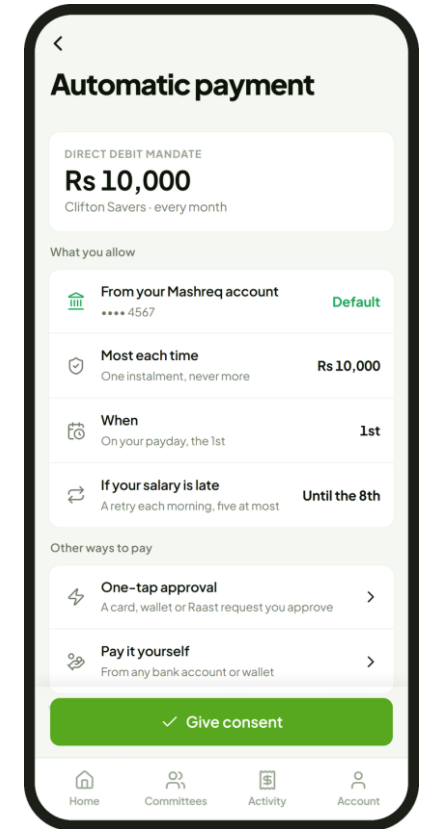
2 See the full cost

Shown before signing; 24 hours to withdraw.



3 Open the Mashreq account

Mashreq's own checks, inside Halqa.



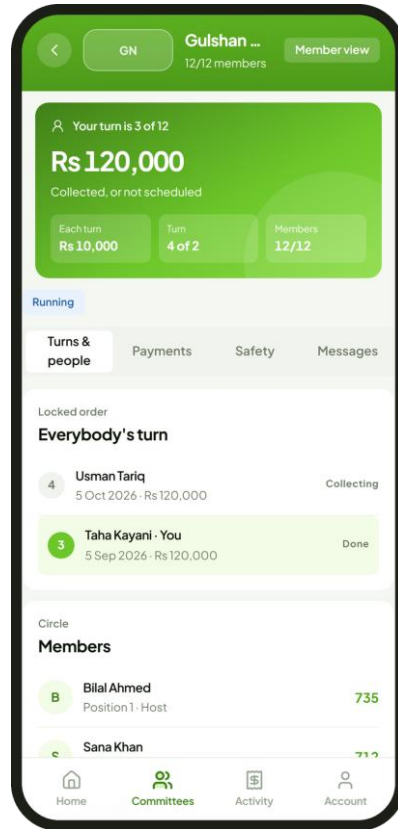
4 Consent to payment

One instalment at most, on payday.

Member Application: Paying and Collecting

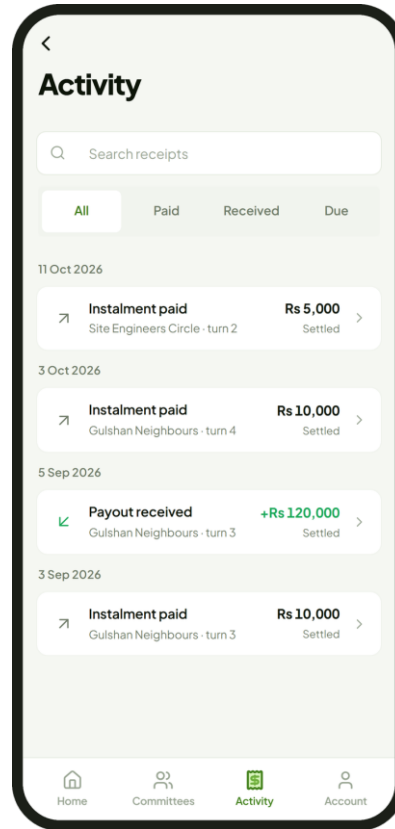


The circle, every payment and payout, the credit record and the points



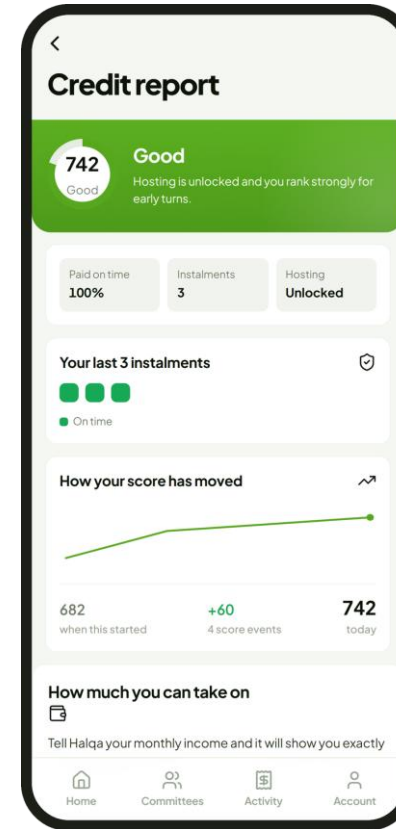
1 Follow the circle

Turn order, who has paid, when the pot comes.



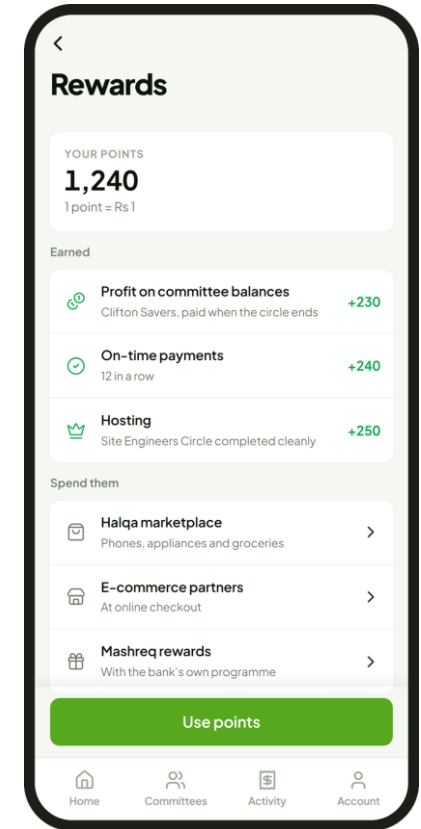
2 Payments and payouts

A receipt for each; the pot arrives the same day.



3 Credit record

Score from 300 to 850 and on-time history.



4 Points

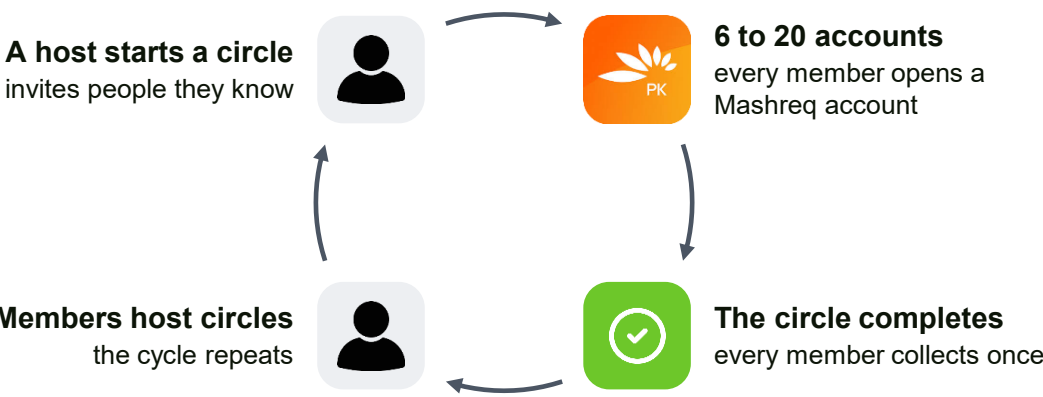
Profit on balances and on-time payments.

Customer Growth and Deposits



Accounts arrive by the circle; deposits at Mashreq's own average balance

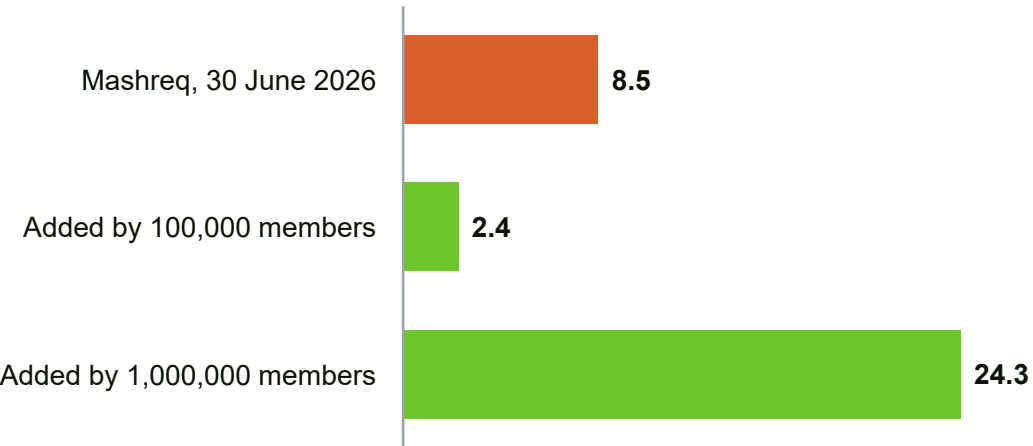
How circles bring accounts



Channels

-  **Hosts** points for circles that complete cleanly, never for recruiting
-  **Employers** circles offered to staff
-  **Families abroad** relatives in the UAE through the Mashreq Pakistan Account
-  **Mashreq** circles offered inside Mashreq's banking services

Deposits Rs billion



Basis: Rs 8,515 million of deposits ÷ 350,000 customers = about Rs 24,000 a customer, 30 June 2026 [1]

+29%

more customers from 100,000 members, on 350,000 today

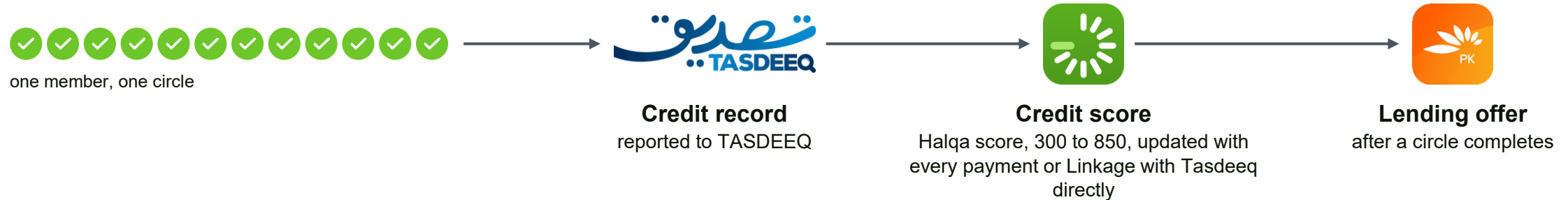
5-7 days

each instalment is held at Mashreq between payday and the 8th

Credit Reporting and Lending

Every instalment becomes a repayment record from the first day

Twelve instalments paid



What each record holds

- Amount and due date
- Date paid, on time or late
- Circle type and turn
- Whether the circle completed

Reporting route

- Through Mashreq's TASDEEQ membership
- Or Halqa as a data provider
- Mashreq decides the route
- From the first payment

No advances

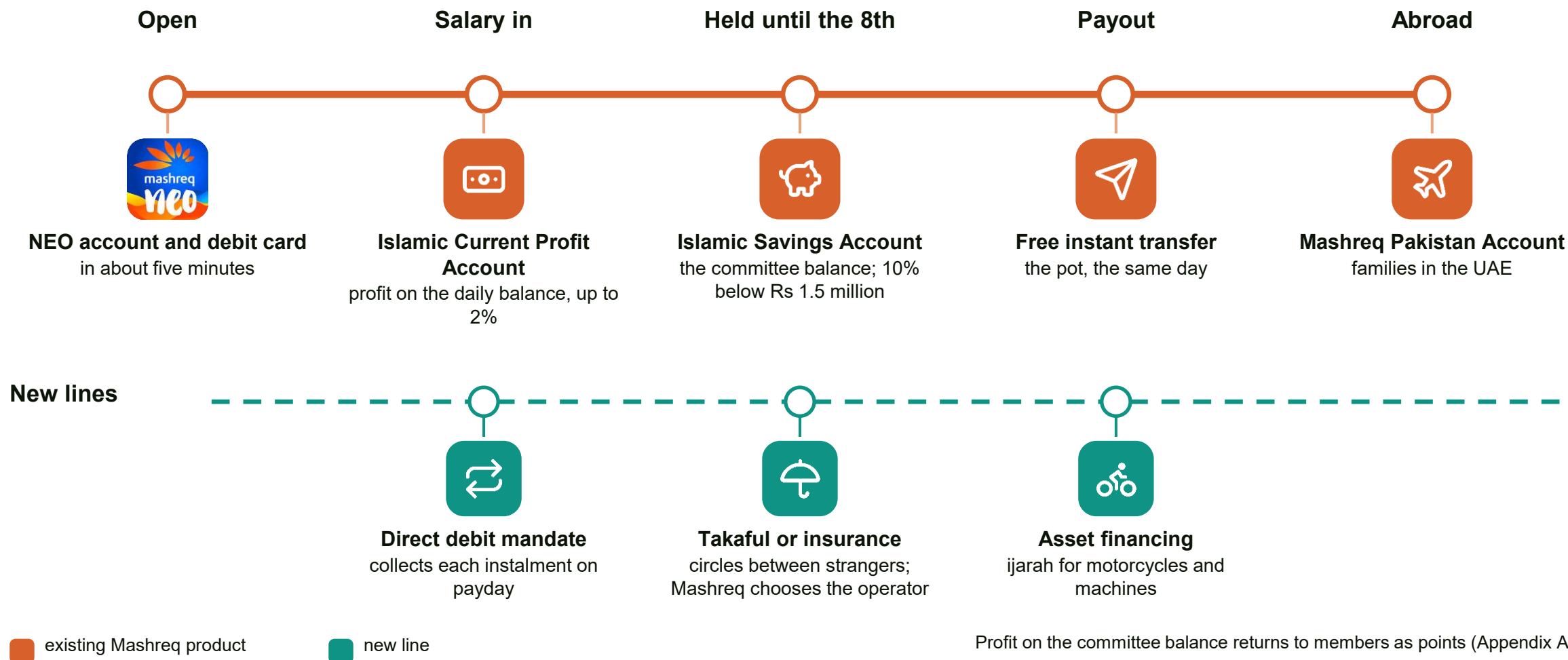
on Mashreq's balance sheet at 30 June 2026 [2]

Committee members arrive with twelve months of repayment history. That history is the data Mashreq needs to start lending safely, beginning with asset financing for motorcycles and machines bought through asset circles.

Mashreq Products Used



Existing products at each step of a committee, and three new lines

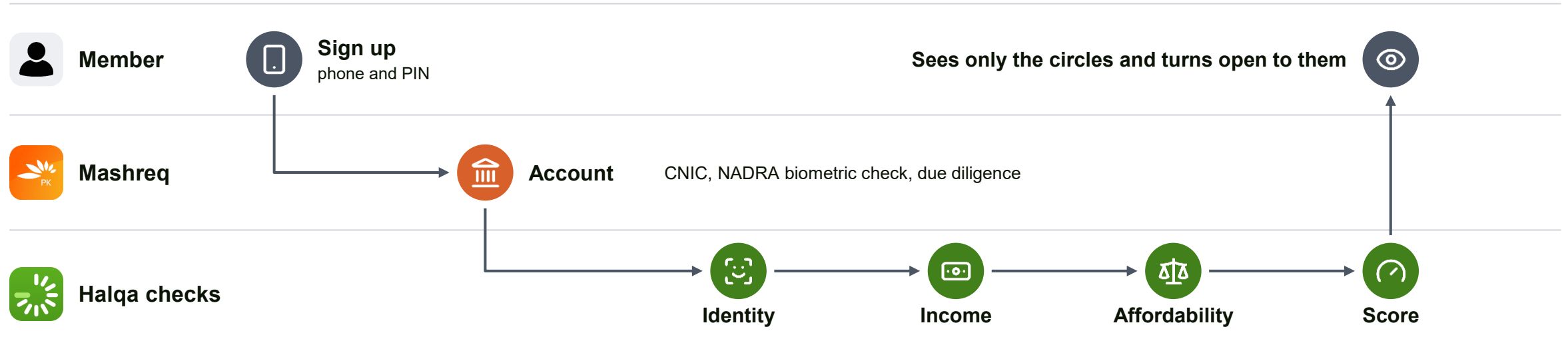


Profit on the committee balance returns to members as points (Appendix A5).

Onboarding and Verification



Mashreq opens the account; Halqa's checks decide which circles and turns each member may join



Identity

- Names on CNIC, account and app match:
- Identity Engine:
- 0.90 or more passes; 0.80 to 0.90 goes to a person
- Live face match
- Home and job checked

Income

- Salary from one employer on about the same day each month
- Daily circles: Rs 1,000 or more on 5 days a week for 8 weeks
- Own transfers and loans excluded
- Verified using income verification engine

Affordability

- All instalments within a third of verified income
- Within 40% including other loans, the State Bank limit

Score

- From 300 to 850
- Decides which turns open
- New members start in the last three turns

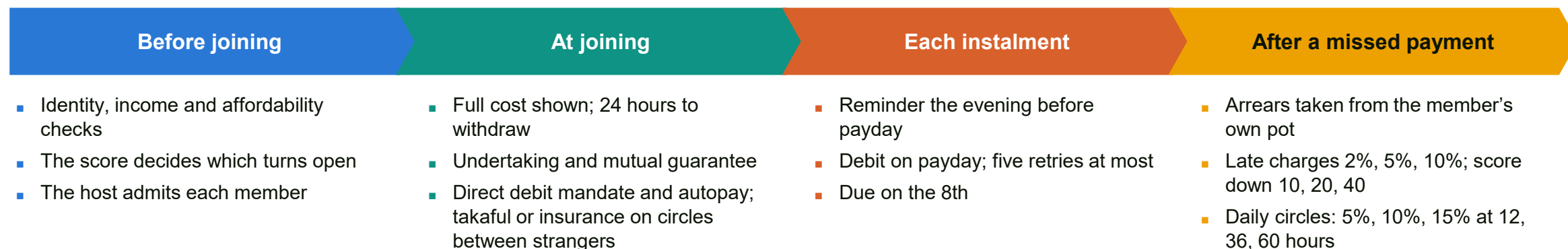
Committee Types

Six types; the less the members know each other, the more checks apply

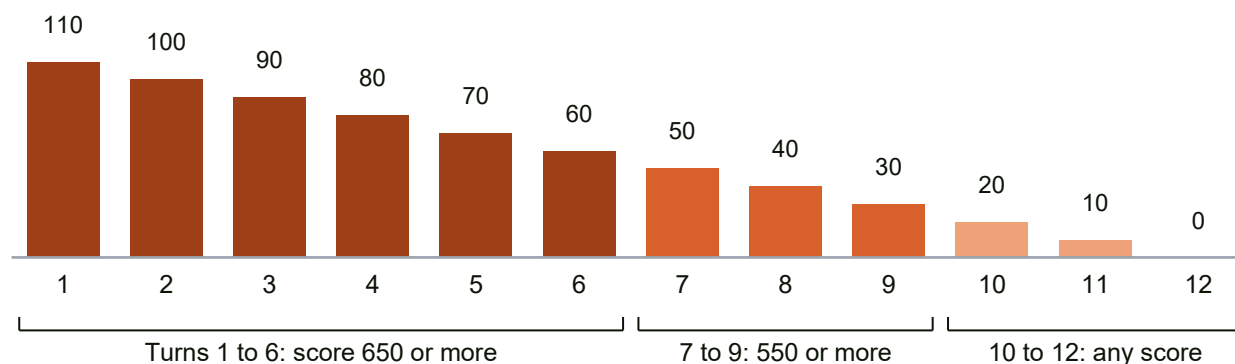
						Experimental
						
	Known check level 1	Unknown check level 2	Large unknown check level 2	Asset check level 2	UAE family check level 1	Hyper check level 3, experimental
Members	6 to 12	12	20	12	6 to 12	390 to 400
Instalment	Rs 2,000 to 10,000	Rs 2000 to 10,000	Rs 10,000 to 25,000	Rs 10,000	any amount	Rs 450 to 500 a day
Frequency	monthly or weekly	monthly	monthly	monthly	monthly	daily
Income checked						
Automatic debit						
Takaful or insurance						
Credit report read						
Typical members	family, colleagues, neighbours, bazaar traders	people who do not know each other	larger amounts	buying a motorcycle or machine	relatives in Pakistan and the UAE	daily earners
 required  not required  check level 1  check level 2  check level 3 In every type, early turns must be earned.						

Default Prevention

Controls at every stage, and early turns only for proven members



Still owed after collecting Rs thousand, by turn, circle of 12 at Rs 10,000



New members start in the last three turns until two circles complete cleanly.

If a member stops after collecting

- 1 Contact and a hardship plan
- 2 Account restricted; score down 200
- 3 Takaful or insurance pays the members left short
- 4 Mutual guarantee: the balance falls due
- 5 Civil suit on the undertaking
- 6 Summary suit, only on a guarantee cheque

Recovery detail: Appendix A4

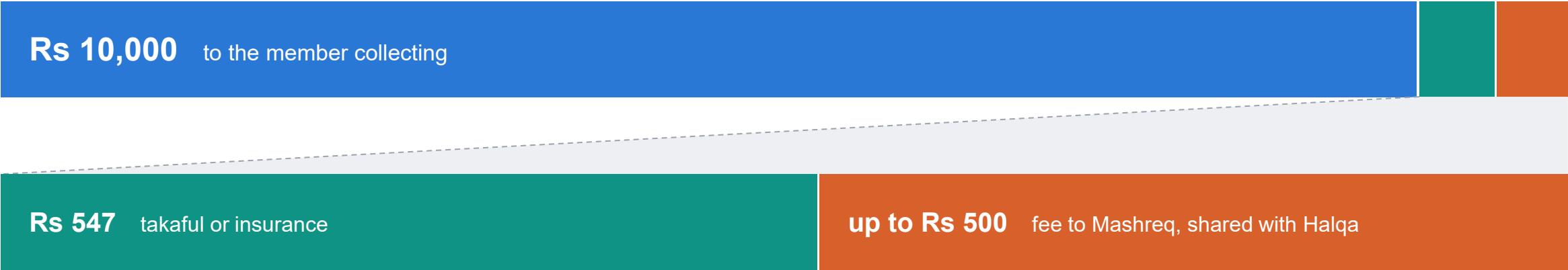
Revenue and Business Model



How one instalment is split, where Halqa’s income comes from and its technical running cost

One instalment on a circle between strangers Rs

The member pays Rs 11,047



Income lines

Now: a share of the fee Mashreq collects; a share of Mashreq’s income on committee balances

Later: asset financing referrals (2 to 4% from the financier, 1 to 3% from the dealer); marketplace commission on points; employer programmes



Unit costs

Rs 13 to 35

to run one payment

Rs 61,000

fixed technical cost a month

About Rs 350

contribution a member a month

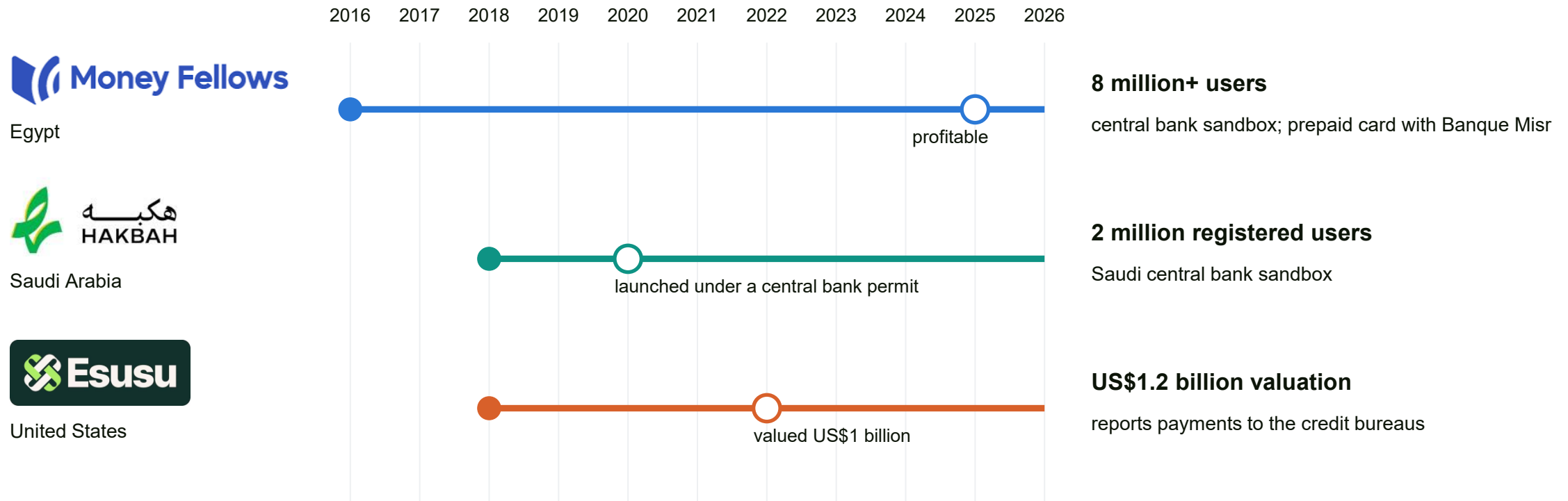
Competition

	 Halqa  mashreq	 oraan	 COMMITTEE	Informal committee
Money held by a licensed bank	☒ Mashreq	☐ own company accounts	☐ organiser's wallet	☐ the organiser
Same fee for every turn	☒ one flat fee	☐ up to 21% a month	<i>not published</i>	☒ usually limited
Paid out automatically	☒ the same day	☐ 11th to 18th	☐ by hand	☐ by hand
Members checked	☒ identity, income, score	☐ device, bureau	☐ phone contacts	☐ people known
Defaults protected	☒ takaful or insurance	☐ own balance sheet	☐ none	☐ organiser's pocket
Credit record	☒ every payment	☐ defaulters only	☐ none	☐ none
Reach today	☐ new	☐ 600,000+ sign ups	☒ 60 million registered accessible	☒ 4 in 10 Pakistanis

☒ yes
 ☐ partly
 ☐ no

International Success

Committee platforms abroad and the institutions behind them



Common pattern

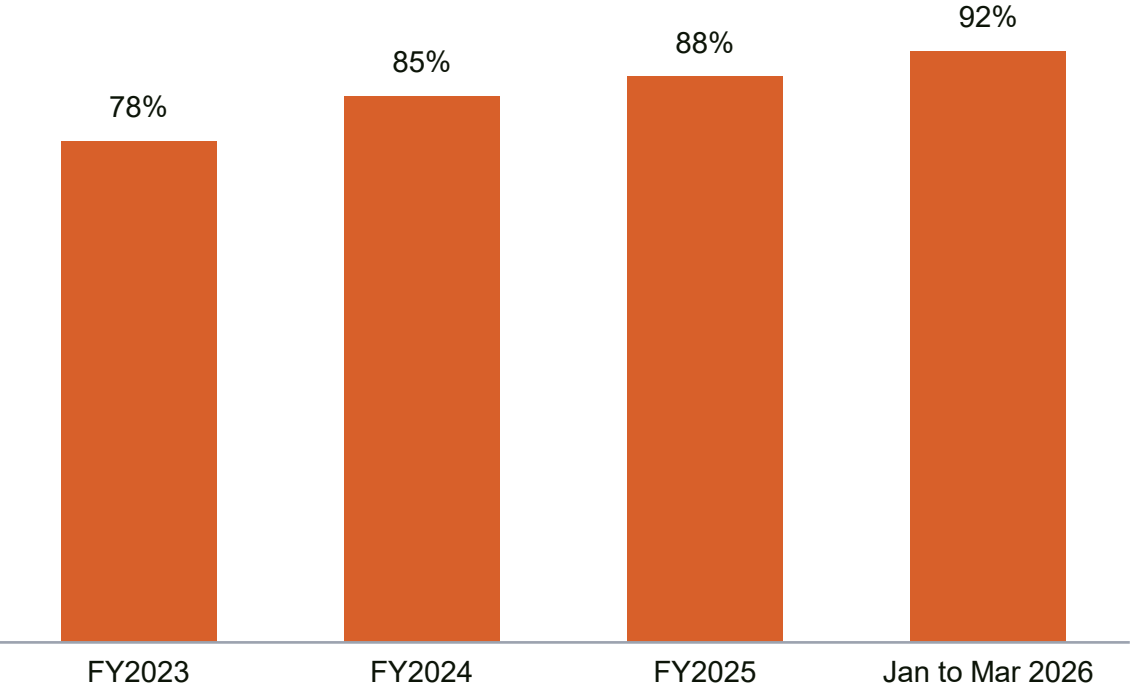
Each grew inside the formal system: a central bank sandbox or permit, a partner bank, or reporting to the credit bureaus. The same sequence is proposed with Mashreq.

Market Timing



Payments in Pakistan have moved to digital channels; committee savings have not

Share of retail payments made digitally per cent



69 million

mobile wallet users at the end of 2024 [1]

21 million

mobile banking app users [1]

Aug 2026

JazzCash launched a committee feature [2]

75% by 2028

State Bank target for adults with an account, from 64% [3]

26%

of adults are financially literate; a committee needs no financial knowledge [4]

2.9 billion

banking app payments in January to March 2026 [1]

Current Status



Built

- Member application in preview: sign up, circles, automatic payment settings, activity, credit report, Hyper (experimental)
- Checks: identity, income, affordability and score
- Payday collection with retries
- Records, receipts and statements



Written

- Legal position checked against twelve laws and regulations
- Six risk and pricing models
- Default prevention and recovery design
- Business model and unit costs



To do

- Incorporation: private limited company, registered office in Islamabad
- Agreement with Mashreq
- Product approval through Mashreq
- Connection to Mashreq's account, direct debit mandate and payment interfaces, and the PSP
- Takaful or insurance operator and TASDEEQ reporting route

Summary

The proposal, the roles of each party and the benefits to each

	Background	About 4 in 10 Pakistanis save in committees. Almost all of it is cash, held by one organiser, outside any bank, with no record of who paid.
	Proposal	Halqa runs committees in its application. Every member holds a Mashreq account; Mashreq collects each instalment and pays each pot. Wallets and cards connect through a licensed PSP.
	Roles	Halqa: rules, turn order, member checks, reminders and records. Mashreq: accounts, collection, payouts and profit. A licensed takaful or insurance operator protects members.
	Regulation	Through Mashreq's licence, with Halqa acting as its service provider under the State Bank's outsourcing framework.
	Status	The application is built and runs in preview. No member money has moved.



For members

- Money held by a bank, not by an organiser
- One flat fee for every turn
- Automatic payment on payday
- The pot paid the same day
- Takaful or insurance if a member defaults
- A credit record from every payment
- Profit on balances returned as points



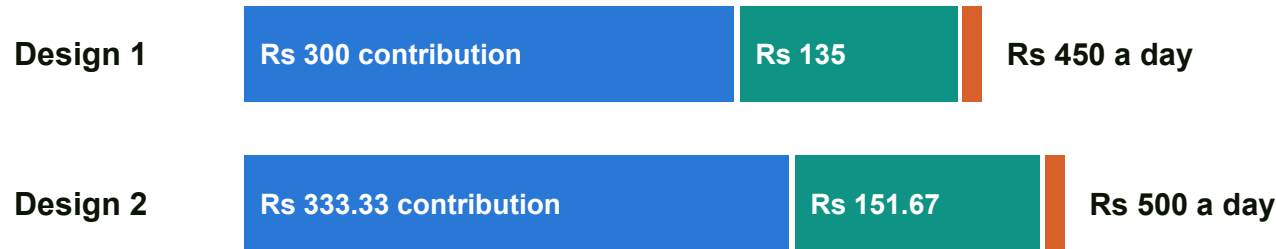
For Mashreq

- 6 to 20 new accounts from each circle
- About Rs 2.4 billion of deposits per 100,000 members
- Instalments held about 7 days before payout
- A repayment record on every member
- Fee income, shared with Halqa
- Asset financing after clean circles

Hyper Daily Committee (Experimental)

Appendix A1 · a daily circle for daily earners, in two designs

Daily payment by design Rs a day

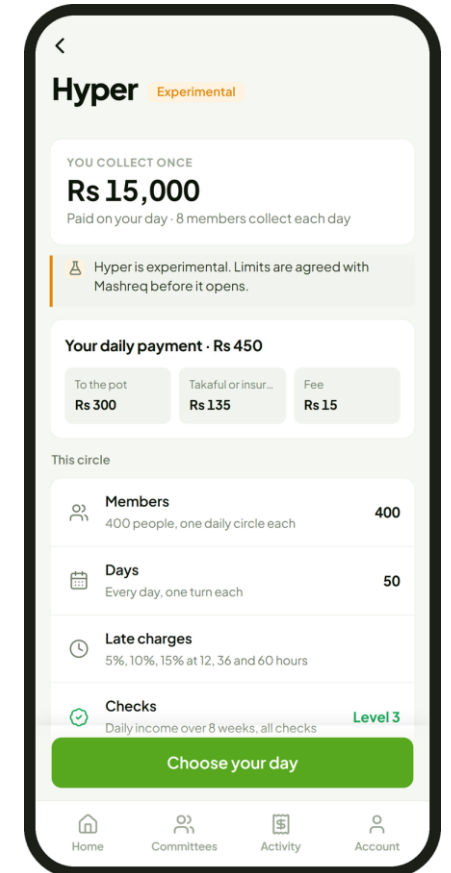


■ contribution, to the pot ■ takaful or insurance ■ fee, Rs 15 a day

	Design 1	Design 2
Members	400	390
Collecting days	50	26, Sundays off
Collecting each day	8	15
Pot	Rs 15,000	Rs 8,666.67
Fee a member, whole circle	Rs 750	Rs 390
Fee, whole circle	Rs 300,000	Rs 152,100
Takaful or insurance a member	Rs 6,750	Rs 3,943.33

Controls

- Label: experimental
- Income: Rs 1,000 or more on 5 days a week for 8 weeks
- Check level 3
- Automatic debit required
- One daily circle per member
- Late: 5%, 10%, 15% at 12, 36, 60 hours
- New days stop when losses would exceed the takaful or insurance limit
- Limits agreed with Mashreq



Payment Collection



Appendix A2 · three collection methods; the automatic method is a new direct debit mandate from Mashreq



Method 1 One-tap approval

The member approves a payment request by card, mobile wallet or Raast.

Used for: Known circles, and when an automatic debit fails



Method 2 Automatic debit

A direct debit mandate on the member's Mashreq account, a new line for Mashreq; or a saved card or wallet charged through the PSP.

Used for: Required on circles between strangers, asset, UAE family and Hyper circles



Method 3 Manual payment

The member sends the instalment from any bank account or wallet.

Used for: Always available

One instalment, day by day days of the month



payday: a retry each morning, 5 attempts at most first debit

due date late charges: 2%, then 5%, then 10%

The evening before payday the member gets a reminder on WhatsApp. The payday is learned from the account the salary arrives in.

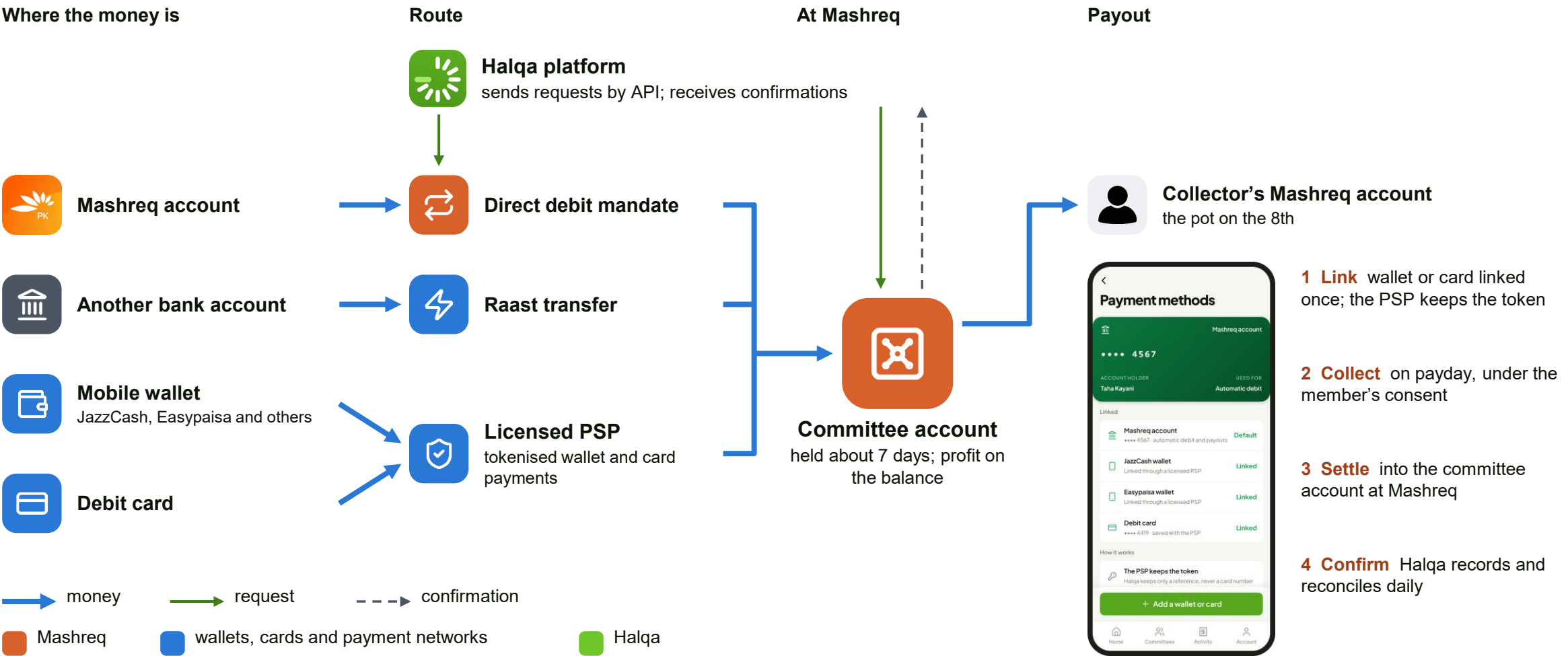
Rules on every automatic debit

- ✓ At most one instalment each time
- ✓ Only on the circle's schedule
- ✓ Cancelling moves the member to method 1 or 3; the commitment to the circle stays
- ✓ A missed amount is held against the member's own pot, never owed to Halqa

Wallets and PSP Integration

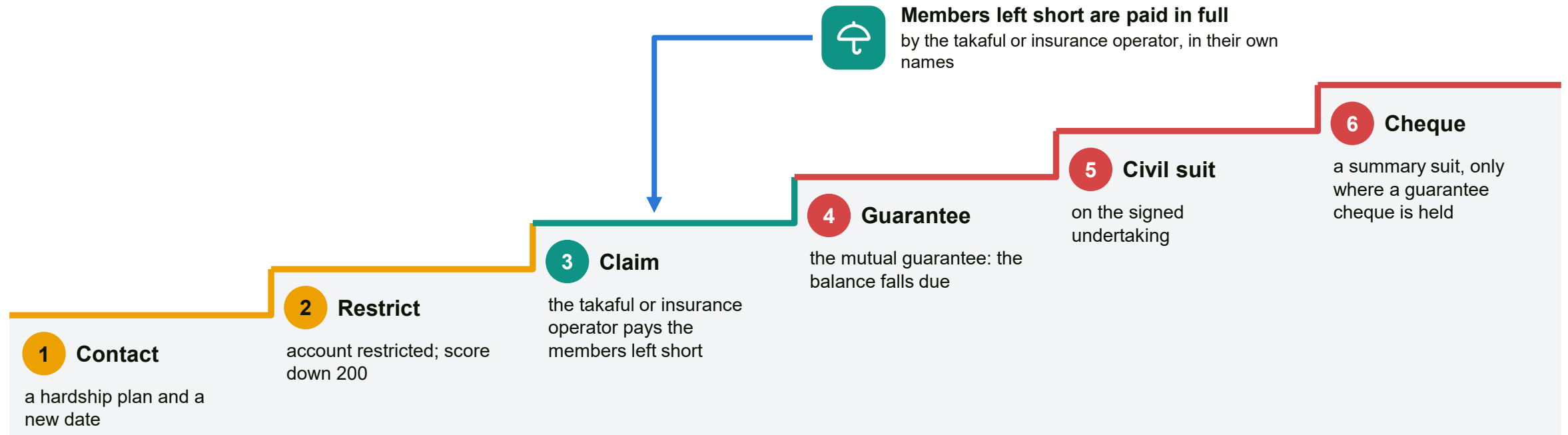


Appendix A3 · how money in a wallet, a card or another bank reaches the committee account at Mashreq



Recovery

Appendix A4 · steps after a member stops paying having already collected the pot



Each step is used only if the one before it fails.

About 5.5%

of the instalment: the takaful or insurance price for the stress case [1]

Mashreq chooses

its insurance partner or a takaful operator

Never

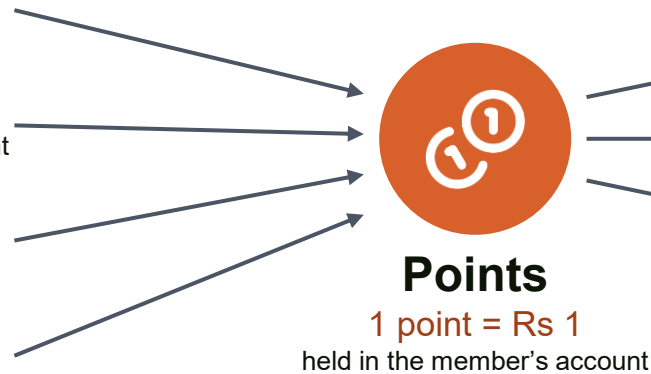
calls to relatives, contact lists or published names

Points and Rewards

Appendix A5 · profit on committee balances and on-time payments, returned to members as points

Earn

-  **Profit on committee balances**
paid at the end of each circle
-  **On-time payments**
at most half of Halqa's fee on that instalment
-  **Hosting**
circles that complete cleanly
-  **Bought with money**
as a Mashreq product, under its licence



Spend

-  **Halqa marketplace**
goods from partner sellers
-  **E-commerce partners**
online purchases
-  **Mashreq rewards**
with the bank's own rewards

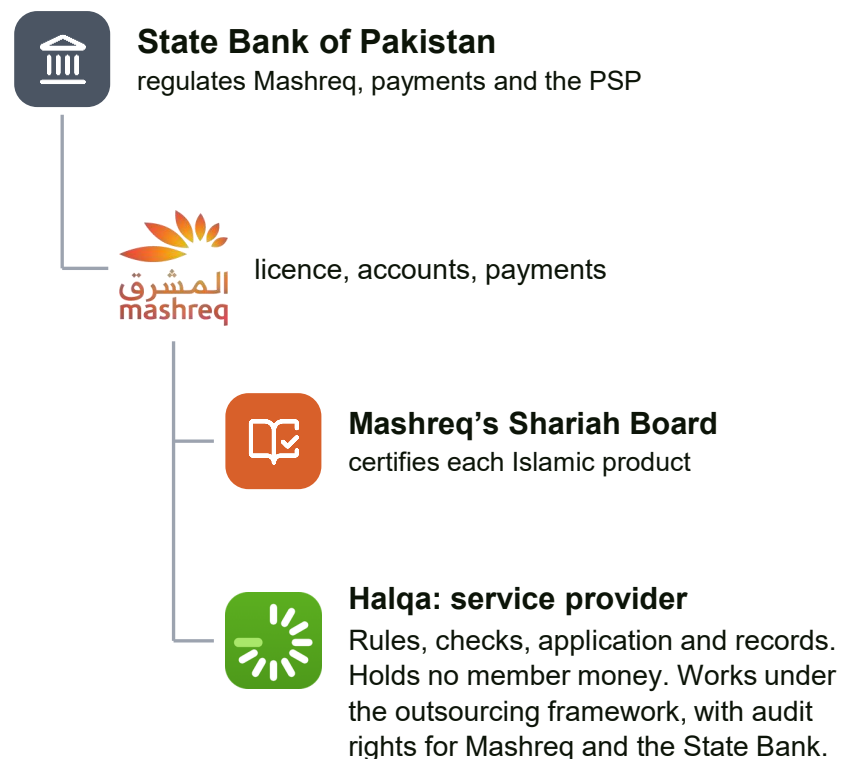
Worked example: profit on one circle of 12 at Rs 10,000 per month and per circle

$$\begin{array}{ccccccc} \text{Rs 120,000} & \times & 7 \text{ of 365 days} & \times & 10\% \text{ a year} & = & \text{Rs 230} & \rightarrow & \text{Rs 2,760} & \rightarrow & \text{230 points} \\ \text{held each month} & & \text{payday to the 8th} & & \text{Islamic Savings Account} & & \text{profit a month} & & \text{over 12 months} & & \text{to each member} \end{array}$$

Turn exchange: members may exchange turns; the price is capped at the value of the pot, the buyer's score must qualify for the earlier turn, the host approves, and a fee is charged on each exchange.

Regulation and Compliance

Appendix A6 · regulation through Mashreq's licence, with Halqa as its service provider



Area	Rule	How it is met
Member money	Only a bank may take deposits (Companies Act 2017, s.84)	Held only by Mashreq; Halqa never receives it
Service provider	SBP outsourcing framework, 2017, revised 2019	Audit rights, data security and continuity for Mashreq and the State Bank
Automatic debit	Payment Systems and Electronic Fund Transfers Act 2007, s.35	Member consent in the app; the direct debit mandate is Mashreq's
Credit reporting	Credit Bureaus Act 2015	Through Mashreq's TASDEEQ membership or Halqa as a data provider
Takaful or insurance	Insurance Ordinance 2000: only a licensed operator may insure	Written by an operator Mashreq chooses
Product approval	State Bank approval or notice	Taken to the State Bank by Mashreq
Data	Customer data protection; outsourcing data controls	Results only; hosted in Singapore today, moved where Mashreq and the State Bank require
AML and KYC	Anti-Money Laundering Act 2010; State Bank AML regulations	Customer due diligence and screening by Mashreq when the account opens
Consumer protection	State Bank fair treatment of consumers rules	Full cost shown before signing; 24 hours to withdraw; complaints in the app
Continuity	Outsourcing framework: contingency and exit plans	Money stays at Mashreq; daily backups; records exportable to Mashreq